

STANDARD OPERATING PROCEDURE
ELI LILLY AND COMPANY
North American Logistics Operations

Pallet Configuration Requirements in NALO

USD-SOP-Pallet Config-001

SUPERSEDES 001-001280

PURPOSE To outline appropriate pallet configurations for shipments into North American Logistics Operations (NALO).

Note: This procedure should be considered when negotiating contract manufacturer and Lilly affiliate contracts. Exceptions to the pallet configuration requirements (e.g., use of euro-pallets) must be pre-approved by NALO Operations management.

AREAS INVOLVED NALO Operations, Contract Manufacturing Quality Assurance, Indianapolis Device Assembly and Packaging (IDAP), Indianapolis Device Assembly and Packaging (IDAP) Logistics, Fegersheim Logistics (Shipping)

APPROVALS Management, NALO Operations
Management, Contract Manufacturing Quality Assurance
Management, Indianapolis Device Assembly and Packaging (IDAP)
Management, Indianapolis Device Assembly and Packaging (IDAP) Logistics
Management, Fegersheim Logistics
Management, NALO Quality Assurance

DEFINITIONS Sample Product - Product designated as a 'Professional Package' and not intended for sale. All material numbers starting with 'ND' are samples, as well as several other material number combinations.

Trade Product – Product intended for commercial sale.

**REASONS
FOR
REVISION**

All revisions are marked with an (*):

1. To update the Maximum outer case dimensions in the Sample Product Pallet Configuration Requirements/Case Characteristics section.
 - Rationale: To reflect maximum cases that will travel on conveyor system at the Plainfield Distribution Center (PDC).
 2. To update the total heights for configured pallets in the Sample Product Pallet Configuration Requirements/Configured Pallets section.
 - Rationale: To reflect current approved pallet configurations.
 3. To add euro and hybrid pallets, and approval information for other pallet options to the Trade Product Pallet Configuration Requirements/Pallet Characteristics section.
 - Rationale: To reflect all the current pallet types routinely managed through NALO.
 4. To update the Maximum outer case dimensions in the Trade Product Pallet Configuration Requirements/Case Characteristics section.
 - Rationale: To reflect maximum cases that will travel on conveyor system at PDC.
 5. To remove the Note (**Note:** If SSS items, pallet must be overpacked or all case labels must face inward unless shipped in LD9 containers.) from the Trade Product Pallet Configuration Requirements/Outer Packaging section.
 - Rationale: This is no longer a requirement.
 6. To update the Note in the Trade Product Pallet Configuration Requirements/Configured Pallets section as follows:
 - A. Changed Unicooler to Opticooler
 - B. Changed pallets should not be taller than 48" to pallets should not be taller than 52".
 - Rationale: To reflect current active container options and related dimensions.
 7. To add MX1400 to the Packing Specifications for Export EF2700/2700SWPEL ISC Container section.
 - Rationale: To incorporate all current approved passive containers.
-

**SAMPLE
PRODUCT PALLET
CONFIGURATION
REQUIREMENTS**

Note: This section is only applicable to non-chill sample items. This section also does not apply to Apollo.

Submitters providing Sample Product to NALO Operations follow these requirements.

Note: Sample items that are only to be distributed in less than case quantities may be configured to meet the 'trade product' requirements. Contact NALO Operations to determine distribution quantity.

Regarding	Requirement
Pallet Characteristics	• Pallets must comply with ISPM 15 (International Standards for Phytosanitary Measures No. 15) requirements for pallet treatment. • Pallets from Lilly sites must be Heat Treated. • Pallet must be clean, in good condition, and have no printing indicating ownership on the pallet itself. • Must be a two-way standard American sized pallet; approximately 42 x 48 inches.
Case Characteristics	• If the item will be distributed in case quantities, cases must be large enough to make it down the conveyor (recommended minimums are nine inches for length and six inches for width). • *Maximum outer case dimensions not to exceed 25.25"L x 19.125"W x 20.25"H and 28 lbs.
Pallet Pattern	• Maintain minimal overhang • A label must be visible on each side of the pallet.
Labeling	• Case label must be on each case and must include, at a minimum: material number, batch number, and expiration date. Label may not contain product name.
Configured Pallets	• *Total height equal to or less than 51 inches high per pallet (including height of pallet) • Configured pallets must be strong enough to stack four (4) pallets high in bulk storage. Blister product from IDAP only can be stacked 4 pallets high. • Full pallets should weigh no more than 700 lbs. each.

**TRADE PRODUCT
PALLET
CONFIGURATION
REQUIREMENTS**

Submitters providing Trade Product to NALO Operations follow these requirements.

Note: Use local site manufacturing procedures for site pallet requirements, if applicable.

Regarding	Requirement
Pallet Characteristics	• Pallets must comply with ISPM 15 (International Standards for Phytosanitary Measures No. 15) requirements for pallet treatment. • Pallets from Lilly sites must be Heat Treated. • Pallet must be clean, in good condition, and have no printing indicating ownership on the pallet itself. • *Must be a two-way standard American sized pallet approximately 42 x 48 inches; a euro pallet approximately 47.25 x 31.5; or a hybrid pallet 39 x 47 inches. Other pallet options must be pre-approved by NALO Operations.
Case Characteristics	• If the item will be distributed in case quantities, cases must be large enough to make it down the conveyor (recommended minimums are nine inches for length and six inches for width). • *Maximum outer case dimensions not to exceed 25.25"L x 19.125"W x 20.25"H and 28 lbs.
Pallet Pattern	• No overhang and center product on the pallet. • One or more case labels must be visible on each side of the pallet
*Outer Packaging	• A case label must be present on each case and must include at a minimum: material number, batch number, and expiration date. • For all contract manufactured and Lilly affiliate products that are not shipped in sealed transportation, all cases must be fully covered by outer packaging to provide tamper evidence and make pallets less accessible to theft without compromising outer packaging.
Hazardous Contents	• If product is considered hazardous for highway transportation the pallet must comply with all applicable transportation regulations from a weight and volume standpoint, according to the 49 CFR.
Configured Pallets	• Total height equal to or less than 48 inches high per pallet (including height of pallet). *Note: Pallet height requirements are not always applicable for material shipped in active containers (e.g., LD9 Opticooler, E1, E2). As a general rule, pallets should not be taller than 52". • Full pallets should weigh no more than 1800 lbs. each.

**PALLET
PATTERNS
FOR ALL
PRODUCT**

Exceptions to the pallet configuration requirements for Sample and Trade products must be pre-approved by NALO Operations Management. Automated warehousing systems are used to receive materials and pallet configuration patterns are maintained there.

- Only one pallet pattern can be maintained in SAP/WM per item code
- Once a pallet pattern has been submitted to NALO, that pattern may not be changed without prior approval by NALO Operations Management
- Any pallets not meeting above criteria may be returned to the supplying area for re-configuration
- International/Export product can be shipped on a hybrid pallet (39 inches x 47 inches) up to 48 inches high; not double stacked.

**PACKING
SPECIFICATIONS
FOR EXPORT
EF2700/2700SWPEL
ISC CONTAINER**

The following information is used as communication for available internal allowable product payload or internal dimensions within the insulated shipping container (ISC) specified.

ISC	Requirements
MX6196 - 2700SWPEL (with gel packs)	Product must fit within the following internal payload dimensions: • Length = 35.25" • Width = 28" • Height = 31.25"
MX6196 - EF2700 (no gel packs)	Internal dimensions per manufacturer's specification: • Length = 38.5" • Width = 31.75" • Height = 37"
NALO Operations Requirements	• Pallet patterns/loading patterns must be approved by NALO management prior to changes. • Pallet patterns must allow for NALO Operations to safely and easily incorporate gel packs (when necessary) within the system to complete the packing configuration to maintain temperature requirements for shipping. Note: Product arriving to NALO must be packed such that product shifting is minimized while in transit. Ergonomic concerns occur when NALO Operations must re-position product within container to complete packing requirements.
*MX1400	Product must fit within the following internal payload dimensions: • Length = 42" • Width = 48" • Height = 45"

Document Approval Signatures

Approved Date: 06 Nov 2024

Approval Verdict: Approve	Jen Schultz (L274639@lilly.com) Approver 29-Aug-2024 13:14:50 GMT+0000
Approval Verdict: Approve	Jaime Domínguez (WM25908@lilly.com) Quality Approver 29-Aug-2024 13:15:06 GMT+0000
Approval Verdict: Approve	Charles Brenegan (C170809@lilly.com) Approver 29-Aug-2024 22:46:00 GMT+0000
Approval Verdict: Approve	K. Nicole Harter (C042254@lilly.com) Quality Approver 06-Sep-2024 13:58:06 GMT+0000
Approval Verdict: Approve	Nathalie Nuss (YF64524@lilly.com) Approver 13-Sep-2024 13:42:29 GMT+0000
Approval Verdict: Approve	Ryan Ladomersky (C108980@lilly.com) Approver 06-Nov-2024 14:29:09 GMT+0000
Reviewer / Approver N/A Additional Details	